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Case Number: 23BBCV02625 Hearing Date: June 26, 2026 Dept: A

MOTION FOR SUMMARY JUDGMENT OR SUMMARY AJUDICATION

Los

Angeles Superior Court Case # 23BBCV02625

MP: Defendant/Cross-Complainant Western States Roofing, Inc.

RP: Plaintiff Noho Urban Apartment LLC

NOTICE:

The Court

is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice

may be given either by email at or by telephone at (818) 260-8412.

ALLEGATIONS:

A.

Complaint

Noho

Urban Apartment LLC ("Plaintiff") alleges AFCO Construction, Inc. ("AFCO") hired/retained Western States Roofing, Inc. ("Defendant" or "WSR") to complete construction and waterproofing for the roof and other areas of the property located at 6226 Colfax Ave. in North Hollywood. Plaintiff alleges that Defendant was responsible for using the correct materials and methods to construct and waterproof the roof and other areas, including the walk decks of the second, third, and fourth levels of the property in accordance with industry standards. After Defendant completed construction and installation of the roof and waterproofing, on May 3, 2021, extensive rainwater penetrated the interior of Plaintiff's property, causing significant water damage to the interior rental units and common areas.

The

Complaint, filed October 30, 2024, alleges: (1) Negligence; (2) Trespass; (3) Private Nuisance; and (4) Negligent Hiring, Supervision, and Retention.

B.

Cross-Complaint

On

February 16, 2024, WSR filed a Cross-Complaint against Roes 1-20 for: (1) Indemnity; (2) Contribution; (3) Tort of Another; and (4) Declaratory Relief. On October 3, 2024, WSR amended the Cross-Complaint by naming Saeid Sam Afghani, an individual doing business as AFCO Construction as Roe 1.

MOTION

ON CALENDAR:

On March

24, 2026, WSR filed a Motion for Summary Judgment or Alternatively, Summary Adjudication. On June 5, 2026, Plaintiff filed an opposition. On June 15, 2026, WSR filed a reply.

LEGAL STANDARD

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an

opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) CCP § 437c(c) "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

As to each claim as framed by the complaint, the defendant moving for summary judgment must satisfy the initial burden of proof by presenting facts to negate an essential element, or to establish a defense. (CCP § 437c(p)(2); Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1520.) Courts "liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.) Once the defendant has met that burden, the burden shifts to the plaintiff to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto. To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

EVIDENTIARY OBJECTIONS:

With the opposition, Plaintiff submitted evidentiary objections to WSR's evidence in support of the motion:

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Declaration

of Shawn Reeves (WSR's owner and project manager): Objection Nos. 1-10 to paragraphs 3-6, 8-10, and 12-16 are overruled.

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Declaration

of Princepreet Singh (WSR's counsel): Objection Nos. 1-6 to paragraphs 3, 7, 8, 10, 11, 13, and 15 are overruled.

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Declaration

of Jim Farasatpour (WSR's engineering expert): Objection Nos. 1-10 to the entirety of Mr. Farasatpour's declaration and paragraphs 2-10 are overruled.

With the reply, WSR

submitted evidentiary objections to Plaintiff's evidence in support of the opposition:

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Declaration of

Sam Afghani (WSR's President and CEO): The objections to paragraph 76 is sustained.

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Declaration of

James Baschnagel (defense expert): The objections to paragraphs 4 to 6 to the extent they rely solely on photographic evidence taken on August 13, 2023 are sustained, as the photographs were taken nearly two years after Defendant "completed" construction date and the Court is unaware of whether this was the same state of the premises or if the photographs reflect repair work performed. (According to Mr. Afghani's declaration, it is unclear when repair work was actually performed but he states that repair statements were sent to WSR on January 17 and February 23, 2023, which predate the August 13, 2023 photographs taken by Mr. Baschnagel.) Objection Nos. 7 to 13 are overruled as they do not rely solely on the photographs, but on the review of project documents, communications, etc.

ANALYSIS:

WSR moves for summary judgment

that: (1) there are no triable issues of fact to establish a cause of action for Negligence; (2) Plaintiff's claims are untimely under the two-year limitations clause; and (3) Plaintiff failed to comply with the Right to Repair Act barring its construction defect claims.

In the alternative, WSR moves for summary adjudication as to: (4) Plaintiff's \$427,200 claim for lost rental income because the claim lacks merit and is void as a matter of law; (5) Plaintiff's \$33,000 damages for tenant settlement because the claim lacks merit and is void as a matter of law; and (6) Plaintiff's Negligent Hiring, Supervision, and Retention claim lacks evidence of unfit

employees or Defendant's knowledge of the same.

A.

Issue 1 – First Cause of Action for
Negligence: Scope of Work

The elements of negligence are “duty, breach of duty,
proximate cause, and damages.” (Carlsen v. Koivumaki (2014) 227
Cal.App.4th 879, 892.)

WSR argues that the Negligence
Cause of Action fails because Plaintiff cannot establish WSR had a duty to Plaintiff
or caused the alleged damages.

In support of Issue 1, WSR
provides the following material facts:

Plaintiff filed its Complaint on
November 7, 2023, alleging water damage at the Subject Property on May 3,
2021. (WSR Fact 1.) The contract between WSR and AFCO is dated
December 11, 2019. (Id. at
2.) On behalf of Plaintiff, AFCO, which
is owned by Sam Afghani, hired WSR. Both
AFCO and Plaintiff share the same address and telephone number. (Id. at 3.) WSR's scope of work was limited to roofing on
the upper roof and temporary waterproofing of the fifth-floor walkway and a
small section of the fourth-floor walkway. (Id. at 4.) NOHO alleges the WSR failed to use proper
waterproofing material for the second, third and fourth floors' walk decks;
failed to properly install flashings between the walk deck and the exterior
stucco wall; failed to use the appropriate waterproofing membranes between the
exterior walls and the roof deck; failed to comply with all applicable roofing
repair building and safety protocols; failed to properly waterproof the
roof. (Id. at 5.)

The Subject Property's upper roof
which WSR installed was inspected after construction and did not leak, but if there
was a defect, Shawn Reeves (WSR's owner) never received notice of a claim. (Id. at 7.) The roof slope was established
during the
framing phase, which predated the WSR installed roofing. (Id. at 8.) Installing gutters and downspouts was outside
WSR's scope of work. (Id. at
9.) Mr. Reeves states that the

installation of the temporary waterproofing on the fifth-floor walkway and a section of the fourth-floor walkway was completed in January 2020, and a walkthrough occurred. (Id. at 10.)

Notably, it rained in the days preceding the walk-through and the temporary waterproofing held up. About three inches of rain water pooled on top of the walkway, but there was no water leak from the walkways or damage to the Subject Property observed by or reported to Mr. Reeves. (Id. at 10.) The units' door thresholds were built two inches lower than the concrete level in the walkways. WSR did not design or construct the thresholds of the units or the level of the walkways. (Id. at 11.) The units' interior, the building's exterior walls, and installing weep screeds were not within WSR's scope of work. (Id. at 12.)

First, WSR contends that Plaintiff cannot establish WSR owed it a duty with respect to the alleged defects because its scope of work under the WSR-AFCO Contract was limited to the installation of the upper roof, along with temporary waterproofing on the fifth floor and a small portion of the fourth floor; it owed no further duties or obligations.

The WSR's contract was between WSR and AFCO only. Although Plaintiff is not a party to the contract, Plaintiff alleges in the Complaint that AFCO hired/retained WSR on behalf of Plaintiff for the waterproofing project at the Subject Premises. (Compl., ¶11.) The WSR-AFCO Contract states in relevant part:

2. SPECIFICATIONS:

a) Provide and install modified granulated torch down to all flat roof areas including upper pedestrian deck @ roof level, over

b) 1-layer glass base sheet

c) Install metal edging @ courtyard edge metal upper roof level only

d) Provide and install Presidential Shake composition shingles @ slope roofs (6" x 12" roof areas over one layer 30lb, felt

e) Seal and paint
all pipes, vents, etc. to match singles

f) Clean up all
related trash and debris daily

g) Permits by others

(WSR-AFCO
Contract, § 2.)

WSR argues that it installed the roof on the upper portion of the Subject Property, but was not contracted to install gutters, downspouts, or to slope the roof. WSR's expert, Mr. Farasatpour, opines that the Subject Property damages bore no evidence that the upper roof leaked. (Farasatpour Decl., ¶9.) He opines that while a weep screed helps moisture escape, preventing water damage, but that such installation was outside the scope of WSR's work. (Id., ¶10.) Shawn Reeves, WSR's owner and project manager, states that WSR installed temporary waterproofing on the fifth-floor walkway and a partial section of the fourth-floor walkway, which was completed in January 2020; he states that it rained after completion (and before a walkthrough) and that three inches of rainwater pooled on the walkway without leaking or causing damage to the Subject Property. (Reeves Decl., ¶15.)

In opposition, Plaintiff argues that WSR's scope of work expanded as a result of a Change Order. According to the WSR-AFCO Contract (which the Court notes was signed only by WSR's owner, Shawn Reeves), modifications could be made in writing with the express approval of both parties. (WSR-AFCO Contract at p.1) Plaintiff provides Sam Afghani's (AFCO's President and CEO) declaration, wherein he states that on February 13, 2020, WSR submitted a change order relating to the work on the third floor. (Afghani Decl., ¶¶21-24, Ex. C [Change Order].) Change Order 20-US-3511 dated February 13, 2020, signed only by Shawn Reeves, states under "Description":

Furnish
and install walk pads at 3rd floor: App torch down over one layer glass base,

AFCO
to provide angle ledge metal and 90° for roof to wall.

(Change Order at p.1; Pl.'s Fact 4.)

By way of this evidence,

Plaintiff has shown that WSR's scope of work was not limited solely to the fourth and fifth floors, but that it required WSR to furnish services on the third-floor walk deck. (Pl.'s

Additional Material Fact [AMF] 7.) (Plaintiff

argues that this service is "unambiguously waterproofing work. Torch down application over glass base is a standard waterproofing method and was agreed to be performed by WSR under contract at the third-floor walk deck." [Opp. at 7:3-6.] Neither WSR nor Plaintiff provided expert

testimony regarding torch-down roofing over glass base sheets with respect to the WSR-AFCO Contract or the Change Order.

The Court also notes that neither the WSR-AFCO Contract nor the Change Order explicitly stated "waterproofing" work.

However, as the use of this method and material are not disputed by the parties, the Court accepts that this is a commonly used method of waterproofing.)

In reply, WSR argues that any

deviation from the work was expressly directed by AFCO and thus could not be attributed to WSR as a breach for unauthorized change, citing to Mr. Reeves' declaration at paragraphs 4-11. (Reply at 1:16-17.) However, a review of Mr.

Reeves' original declaration at these paragraphs does not reflect what changes AFCO proposed and whether such modifications were in writing to approve deviations from the original WSR-AFCO Contract.

Here, there is a triable issue of material fact regarding WSR's scope of work.

While WSR offered material facts that its scope of work was limited solely to waterproofing the fourth and fifth floors only, Plaintiff has provided opposing evidence that WSR was also required to provide waterproofing services to the third floor. As such, Plaintiff has raised a triable issue of material act regarding the issue of WSR's scope of work, or duty.

Additionally, WSR argues that its

scope of work was limited to “temporary” waterproofing on the fourth and fifth-floor walkways. (Def.’s Fact 4.) However, as pointed out by Plaintiff, WSR has not shown where in the WSR-AFCO Contract the parties agreed that WSR’s waterproofing work would only be for “temporary” waterproofing. (Pl.’s Fact 4; Pl.’s AMF 9-10; Afghani Decl., ¶¶16-18.) (The Court is also unaware of whether the listed “Specifications” implicitly included temporary work, as opposed to permanent work.) As such, WSR has not established its initial burden on this particular scope of work.

Second, WSR argues that Plaintiff cannot prove causation because, in response to Special Interrogatory requests regarding causation, Plaintiff reiterated the Complaint’s allegations without supporting facts. WSR provides Fact 6, in which it contends that when asked to provide all facts in support of its contention that WSR’s work and/or services caused or contributed to Plaintiff’s damages, Plaintiff copied and pasted the Complaint’s allegations without providing any new details. (WSR Fact 6.) Thus, WSR argues that Plaintiff lacks facts/evidence supporting its claims such that the Court should infer that no evidence exists. (Mot. at p.11 [citing to *Andrew v. Foster Wheeler LLC* (2006) 138 Cal.App.4th 96, 102-103].)

WSR’s Special Interrogatory No. 12 asks: “State all facts supporting YOUR contention that WSR’s work and/or services caused or contributed to NOHO URBAN APARTMENTS, LLC’s damages.” (Singh Decl., Ex. E [SROG No. 12 at p. 9].) Plaintiff responded in part, without waiving objections, with the same language alleged in the Complaint at paragraphs 11-21 regarding the First Cause of Action’s allegations (see SROG No. 12 at 9:22-13:3); paragraphs 25-26 regarding the Second Cause of Action’s allegations (see id. at 13:4-7); paragraph 29 regarding the Third Cause of Action (see id. at 13:8-12); and paragraphs 32-38 regarding the Fourth Cause of Action (see id. at 13:13-14:1).

While Plaintiff’s SROG response essentially reiterates the allegations of the Complaint, the Court does not find that this alone should result in a finding to support summary judgment/adjudication in favor of WSR. The SROG response and Complaint’s allegations allege numerous categories of WSR’s alleged failures that Plaintiff contends

WSR breached its duties and thereby caused or contributed to Plaintiff's injuries. (See SROG No. 12 at 11:24-12:28; Compl., ¶19(a)-(m).)

A defendant making a "no evidence" motion must introduce admissible evidence (by declaration or otherwise) that, "discovery was 'sufficiently comprehensive, and plaintiffs' responses so devoid of facts, as to lead to the inference that plaintiffs could not prove [their case] upon a stringent review of the direct, circumstantial and inferential evidence.'" (Casey v. Perini Corp. (2012) 206 Cal.App.4th 1222, 1231 [quoting Andrews v. Foster Wheeler LLC (2006) 138 Cal.App.4th 96, 107].) In addition, a defendant making a "no evidence" motion must also establish that, by the time the case comes up for trial, the plaintiff "cannot reasonably expect to obtain" the evidence necessary to raise a triable issue of fact on the issue. (Schieding v. Dinwiddie Construction Company (1999) 69 Cal.App.4th 64, 83; Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 854-855 [noting that a defendant seeking summary judgment "must show that the plaintiff does not possess needed evidence . . . the defendant must also show that the plaintiff cannot reasonably obtain needed evidence . . ."].)

The Court finds that these elements to a "no evidence" motion have not been satisfied. WSR's counsel Princepreet Singh provides his declaration attaching various exhibits, but he makes no statements otherwise regarding the sufficiency of the discovery conducted in this action. Additionally, the Court cannot conclude that Plaintiff lacks evidence and cannot reasonably be expected to obtain evidence necessary to raise a triable issue of material fact. Plaintiff's expert, James Baschnagel, opines that based on his August 13, 2023 site inspection, that WSR did not install the Duro-Last 50-mil PVC reinforced roof membrane for the flat roof areas or the CertainTeed Presidential Solaris shingles for the sloped roof portions, and that there were no Change Orders or Material Substitution approval forms authorizing deviations from the specified materials. (Baschnagel Decl., ¶11; Pl.'s AMF 27.) As discussed above, and based on the opposing expert declarations, there is at least a baseline showing by Plaintiff that there is conflicting evidence, which may and have resulted in triable issues of material fact.

For these reasons, the motion is denied as to Issue 1 regarding the First Cause of Action for Negligence.

B.

Issue 2 – Two-Year Limitations Clause

WSR argues that Plaintiff's Complaint

is barred by the two-year limitations period in the WSR-AFCO Contract. (Mot. at pp.12-13.) WSR argues that although Plaintiff is not a

party to the WSR-AFCO Contract, Plaintiff is a third-party beneficiary to the Contract as the property owner, and it acknowledged in the Complaint that AFCO hired/retained WSR on its behalf.

"It is a well-settled proposition

of law that the parties to a contract may stipulate therein for a period of limitation, shorter than that fixed by the statute of limitations, and that such stipulation violates no principle of public policy, provided the period fixed be not so unreasonable as to show imposition or undue advantage in some way." (Beeson v. Schloss (1920)

183 Cal. 618, 622.)

"An agent is one who represents

another, called the principal, in dealings with third persons. Such representation is called agency." (Civ.

Code, § 2295.) "An agent represents his

principal for all purposes within the scope of his actual or ostensible authority, and all the rights and liabilities which would accrue to the agent from transactions within such limit, if they had been entered into on his own account, accrue to the principal." (Civ.

Code, § 2330.)

"When plaintiff seeks to secure

benefits under a contract as to which he is a third-party beneficiary, he must take that contract as he finds it. As the rules above stated make clear, the third party cannot select the parts favorable to him and reject those unfavorable to him." (Sanders v.

American Cas. Co. of Reading, Pa. (1969) 269 Cal.App.2d 306, 310.)

For Issue 2, WSR provides the

following material facts. Plaintiff

filed its Complaint on November

7, 2023, alleging water damage on May 3, 2021, more than two years after the date of completion of WSR's work. (WSR Fact 13.) The WSR-AFCO Contract included the following terms and conditions:

12. ENFORCEABILITY

AGAINST TRANSFEREES & SUCCESSORS: This agreement and all of its terms shall be binding upon and enforceable against the parties hereto and also against the heir's estates, successors in interest, assigns, and personal representatives of the parties hereto. It is further expressly agreed that this Agreement and all terms hereof shall also be binding upon and may be enforced against any person, firm, association or entity to whom Owner [AFCO Construction – Attn: Sam] transfers any part of his right, title, or interest in or to the premises upon which this Contract is to be performed.

...

18. LIMITATIONS: No

action arising from or related to this contract or performance of this contract, shall be started by either party against the other more than two years from either the date of completion or the date of cessation of work under this contract. This limitation applies to all actions of any character.

(Id. at 14-15; Singh Decl., Ex. B [WSR-AFCO Contract].)

In SROG No. 1, WSR asked Plaintiff to identify all documents related to the work of any contractors it retained for work at the Subject Property from January 1, 1995, up to and including the date of its responses.

(Singh Decl., Ex. H [SROG No. 1].)

Plaintiff was defined to include, among other things, its agents and all other persons or entities representing or acting on its behalf. Plaintiff responded by identifying the WSR-AFCO Contract. (Id.)

First, the Court notes that WSR has established its initial burden showing that Plaintiff was the intended third-party beneficiary to the WSR-AFCO Contract as the contract involved the Subject Property owned by Plaintiff and Plaintiff sued WSR for work performed pursuant to the Contract on the grounds that WSR had duties arising from the

agreements between AFCO and WSR. (See Compl., ¶¶1, 11, 13.) WSR has shown that Plaintiff filed this action on November 7, 2023, which is over two years from WSR's alleged May 3, 2021 completion date.

(Compl., ¶14.) Applying the limitations period, this action would be time-barred. As WSR has established its initial burden on Issue 2, the burden shifts to Plaintiff to raise a triable issue of material fact.

In opposition, Plaintiff argues that it was not a party to, nor a third-party beneficiary of, the WSR-AFCO Contract and therefore is not bound by the contractual limitations period. Plaintiff relies on Mr. Afghani's declaration. Mr. Afghani states that the WSR-AFCO Contract identifies AFCO as the buyer/owner and not Plaintiff Noho; WSR chose to contract with AFCO; and AFCO is an independent general contractor who negotiated and executed the contract with WSR. (Afghani Decl., ¶¶1-11.) Plaintiff argues that shared ownership between the principals of AFCO and Plaintiff, or a shared business address, does not establish agency as a matter of law. Plaintiff argues that its Complaint allegations that AFCO hired WSR on Plaintiff's behalf was not an admission, but that AFCO acted as a general contractor for the benefit of its property owner. (Opp. at pp.11-12.)

Plaintiff also argues that it is not a third-party beneficiary who is bound to the limitations clause because it did not negotiate or have the opportunity to object to the Contract's terms and it did not sue to enforce the Contract's terms but instead sued for WSR's negligent performance of the work that damaged Plaintiff's property. (Opp. at p.12.) The arguments appear to be incongruent; negligence based on duties founded in the WSR-AFCO is dissonant to not being a third-party beneficiary of the Contract. Furthermore, the scope of the limitations clause was not limited to only contract claims, but stated it applied to "all actions of any character."

Finally, Plaintiff argues that even if the limitations clause applied, the Complaint is timely because the period was for two years from "either the date of completion or the date of cessation of work under this contract." (Opp. at pp.12-13; WSR-AFCO Contract, ¶18 [italics added].) Plaintiff cites to the WSR-AFCO Contract, paragraph 15, which states in relevant part:

15. GUARANTEE

AGREEMENT: Contractor agrees that following completion of work done by him on the building at the above address, he will repair free of charge any water leaks occurring in the roof area on which was performed under said Contract, provided it can be shown after investigation that said leaks resulted from faulty workmanship and provided further, that Buyer has given the Contractor written notice of the existence of such leaks. During the term of this Guarantee, notice must be given promptly upon discovery of any defect or damage. ...

(WSR-AFCO Contract at ¶15; Pl.'s AMF 28.)

Plaintiff argues that following the May 3, 2021 water intrusion, WSR received actual notice of the defects from repeated direct communications, personal site visits, water testing, and repair attempts by Mr. Reeves, but WSR attempted and failed to inspect and repair the issue. (Pl.'s AMF 26.) Mr. Reeves personally visited the Subject Property and sent workers to discuss and perform repairs through, at the least, January 2022. (Id. at 20.) Mr. Afghani states in his declaration details of the parties' communications and provides text messages with Mr. Reeves from May 2021 to January 2022. (Afghani Decl., ¶¶47-71, Ex. D [Text Messages].) Plaintiff contends that WSR did not timely and adequately repair the defective roofing and waterproofing conditions which caused or contributed to the water intrusion and because WSR did not accept responsibility for the water intrusion damage, Plaintiff and/or AFCO were required to proceed with corrective work and repairs to protect the Subject Property, mitigate damages, and restore affected units and common areas. (Pl.'s AMF 29.)

The text messages between Mr. Afghani and Mr. Reeves show communication through at least January 24, 2022 regarding water intrusion and potential repair methods. Although the project's completion date may have been May 3, 2021, the parties appear to have continued discussing the quality of and issues with the waterproofing work up until January 24, 2022. If the January 2022 timeframe is the date the work ceased, then there is a triable issue regarding whether the Complaint was timely filed on November 7, 2023. (At this stage, the Court is not making a definitive finding regarding the terms "completion" or "cessation of

work” but instead finding that there is at least a triable issue of material fact regarding whether the limitations clause was meant to include repair work, whether the project was indeed “completed,” and whether WSR’s “cessation” of completing repair work falls under this limitations clause.)

For these reasons, the motion is denied as to Issue 2 regarding the limitations clause.

C.

Issue 3 – Right to Repair Act

WSR argues that Plaintiff failed to comply with the Right to Repair Act barring its construction defect claims.

Issue 3 relies on the following material facts:

Plaintiff sent text messages on

January 18 and 24, 2021, presumably between Sam Afghani and Shawn Reeves, but

did not serve a formal Notice of Claim as required by Civ. Code § 910(a). (WSR Fact 16.) (The Court notes that while WSR states the

texts were sent in “2021,” this appears to be a typographical error in the separate statements.) No Notice of Claim was found in WSR’s document production. (Id. at 17.)

Civil Code, § 910(a) states:

Prior to filing an

action against any party alleged to have contributed to a violation of the standards set forth in Chapter 2 (commencing with Section 896), the claimant shall initiate the following prelitigation procedures:

(a) The claimant or

his or her legal representative shall provide written notice via certified mail, overnight mail, or personal delivery to the builder, in the manner prescribed in this section, of the claimant’s claim that the construction of his or her residence violates any of the standards set forth in Chapter 2 (commencing with Section 896). That notice shall provide the claimant’s name, address, and preferred method of contact, and shall state that the claimant

alleges a violation pursuant to this part against the builder, and shall describe the claim in reasonable detail sufficient to determine the nature and location, to the extent known, of the claimed violation. In the case of a group of homeowners or an association, the notice may identify the claimants solely by address or other description sufficient to apprise the builder of the locations of the subject residences. That document shall have the same force and effect as a notice of commencement of a legal proceeding.

(Civ. Code, § 910(a); McMillin Albany LLC v. Superior Court (2018) 4 Cal.5th 241, 259 [“[C]laims seeking recovery for construction defect damages are subject to the Act’s prelitigation procedures regardless of how they are pleaded....”].)

“Builder” means “any entity or individual, including, but not limited to a builder, developer, general contractor, contractor, or original seller, who, at the time of sale, was also in the business of selling residential units to the public for the property that is the subject of the homeowner’s claim or was in the business of building, developing, or constructing residential units for public purchase for the property that is the subject of the homeowner’s claim.” (Civ. Code, § 911(a).)

WSR argues that Plaintiff’s Complaint seeks recovery for construction defects, which fall within the scope of the Right to Repair Act. Thus, it argues that Plaintiff and/or AFCO were required to provide WSR notice under section 910(a).

Other than arguing that Plaintiff’s claims include construction defect claims, WSR has not shown how the Right to Repair Act applies. For example, Civil Code, § 896 states that “This title applies to original construction intended to be sold as an individual dwelling unit.” (Civ. Code, § 896.)

The McMillin Court discussed section 896 as follows:

Three aspects of this text are instructive. First, the provision applies to “any action” seeking damages for a construction defect, not just any action under the title. (§

896.) This suggests an intent to create not merely a remedy for construction defects but the remedy. Second, “the claimant’s claims or causes of action shall be limited to violation of ... the following standards, except as specifically set forth in this title.” (Ibid.) This express language of limitation means that a party seeking damages for a construction defect may sue for violation of these standards, and only violation of these standards, unless the Act provides an exception. This clause evinces a clear intent to displace, in whole or in part, existing remedies for construction defects. Third, “[t]his title applies to original construction intended to be sold as an individual dwelling unit,” but “[a]s to condominium conversions, this title does not apply to or does not supersede any other statutory or common law.” (§ 896) The Act governs claims concerning stand-alone homes; for such disputes, the Act’s provisions do “supersede any other statutory or common law” except as elsewhere provided. (§ 896.)

(McMillin Albany LLC v. Superior Court (2018) 4 Cal.5th 241, 250.)

WSR has not presented evidence that the Subject Property was an original construction as defined under section 911 to whom section 910’s notice procedures apply. Rather, as stated by Mr. Reeves, WSR was a subcontractor for roof and waterproofing work. (Reeves Decl., ¶3.) Neither WSR nor Plaintiff were in the business of selling residential units (as stated by Mr. Afghani [¶84], Plaintiff rented apartment units). The Court notes WSR did not address Issue 3 in its reply brief.

As WSR did not meet its initial burden on this issue, the burden does not shift to Plaintiff to raise a triable issue of material fact. The motion is denied as to Issue 3 regarding the Right to Repair Act.

D.

Issue 4 – Rental Income

In the alternative, WSR moves for summary adjudication arguing that Plaintiff’s \$427,200 claim for lost rental income lacks merit and is void as a matter of law. For Issue 4, WSR argues Plaintiff claims \$427,200 in lost rental income for six to seven months following May 3, 2021,

without providing lease agreements or consistent figures. (WSR Fact 19.) WSR contends that no Certificate of Occupancy (CO) or Temporary Certificate of Occupancy (TCO) were issued for the property on May 3, 2021, with the first TCO issued on October 21, 2022. (WSR Fact 18.)

In response to Form Interrogatory

No. 305.1, Plain

Los Angeles Municipal Code ("LAMC")

§ 91.109.1, entitled "Certificate Required," states:

In order to

safeguard life and limb, health, property and public welfare, every building or structure and every trailer park shall conform to the construction requirements for the subgroup occupancy to be housed therein, or for the use to which the building or structure or trailer park is to be put, as set forth in this article.

No building or

structure or portion thereof and no trailer park or portion thereof shall be used or occupied until a Certificate of Occupancy has been issued thereof.

EXCEPTIONS:

1. Unless

it is specifically required by other provisions of this article, no existing building or portion thereof shall require a Certificate of Occupancy, provided:

A. The

occupancy housed therein is the same for which the original building permit was issued; and

B. The

use of a building or portion thereof housing a Group A or E Occupancy and constructed prior to 1934 has not been discontinued for a period of more than six months.

2. No

structure, the architecture of which inhibits occupancy, shall require a Certificate of Occupancy.

(LAMC § 91.109.1.)

WSR argues that the TCO is valid only for six months and that the October 21, 2022 TCO was issued more than 17 months after the alleged water leak on May 3, 2021. (Mot. at p.16; LAMC § 91.109.5 [“A temporary Certificate of Occupancy shall be valid for a period not to exceed six months. The Department may issue additional temporary Certificates of Occupancy. After the expiration of a temporary Certificate of Occupancy, the Department shall require a Certificate of Occupancy in accordance with other provisions of this section.”].) WSR argues that without a CO or TCO in place during the relevant period, Plaintiff’s lost rental income claim is speculative and unsupported. WSR has established its initial burden on Issue 4. As such, the burden shifts to Plaintiff to raise a triable issue of material fact.

In opposition, Plaintiff does not dispute Fact 18 that it did not have a CO or TCO on May 3, 2021, but argues instead that this does not bar Plaintiff’s damages for lost use and value to its property due to WSR’s defective work pursuant to Civil Code, § 3333. (Pl.’s Fact 18.) Civil Code, § 3333 states: “For the breach of an obligation not arising from contract, the measure of damages, except where otherwise expressly provided by this Code, is the amount which will compensate for all the detriment proximately caused thereby, whether it could have been anticipated or not.”

With respect to the \$427,000 claim, Plaintiff states it provided calculations supporting its lost rental income claim, citing to its FROG Responses. (Pl.’s Fact 19; Jacobson Decl., ¶¶9-10, Ex. B [FROG Nos. 305 and 309 responses].) Plaintiff’s No. 305.1 (“Do you attribute any loss of or damage to subject property to the facts on which the construction claim or the construction defect claim is based?”) responses states that Plaintiff claimed \$1,671,366.14 in repair costs; \$289,950 for temporary repairs; \$195,000 in estimated loss of rental income for six to seven months; and approximately \$33,000 in amounts paid in settlement to a unit owner. In response to No. 309.1 (“Are there any other damages that you attribute to the construction claim or construction defect claim alleged in this action?”), Plaintiff approximated \$33,000 for the settlement amount to a unit owner and \$427,200 for loss of

rental income.

Based on Plaintiff's FROG

responses, it is unclear if Plaintiff is claiming \$195,000 (for six to seven months) or \$427,200 (no time period specified) in estimated loss of rental income. Although Mr. Afghani provides

accounting for repairs and refunds to unit renters in Exhibits E and F, no

actual accounting is provided for estimated loss of rental income. (Afghani Decl., ¶¶81-85, Exs. E-F.) Plaintiff does not provide any statements on

how many units were unable to be rented, what the rental costs of those units

were, and the period for which the units were not able to be rented out. Although Plaintiff relies on Civil Code, § 3333, Plaintiff has not shown how it was actually damaged by loss of rental

income and has not raised a triable issue of material fact on Issue 4. Furthermore, without being able to rent out the properties in the first place, as CO/TCO compliance was not met, Plaintiff

has not shown how it would have been entitled to rental income in the first place.

The motion for summary adjudication on Issue 4 is granted.

E.

Issue 5 – Tenant Settlement

WSR argues that Plaintiff's \$33,000

damages for tenant settlement fails because the claim lacks merit and is void as a matter of law. For Issue 5, WSR

argues that Plaintiff alleged a \$33,000 settlement with a tenant due to the May 3, 2021 incident but provides no details regarding the tenant's lease agreement or proof of payment. (WSR Fact 20.) WSR

contends, and Plaintiff does not dispute, that no CO or TCO was issued for the property on May 3, 2021, rendering tenant occupancy illegal. (Id. at 21; Pl.'s Fact 21.) For the same reasons discussed above

regarding Issue 4, WSR has established its initial burden on Issue 5. The burden shifts to Plaintiff to raise a triable issue of material fact.

Plaintiff argues that the tenant

settlement was a foreseeable and recoverable consequence of WSR's defective work and that its FROG responses establish the existence of the amount. (Pl.'s Fact 20.) To support this assertion, Plaintiff cites to

Mr. Jacobson's expert declaration at paragraphs 9-10 wherein he makes opinions about WSR's "temporary" waterproofing and that a waterproofing contractor

cannot defeat causation by suggesting others may have damaged the membrane after installation. Neither of these statements discuss the settlement.

If relying on the same FROG responses as summarized in Issue 4, these only provide approximations of Plaintiff's settlement amount to a unit owner in the amount of \$33,000, but there is no definitive proof that Plaintiff paid a settlement, no checks, no settlement agreement, or any declaration statement by Mr. Afghani. As such, Plaintiff has not raised a triable issue of material fact on this issue.

As such, the motion for summary adjudication on Issue 5 is granted.

F.

Issue 6 – The Fourth Cause of Action for Negligent Hiring, Supervision, and Retention

WSR argues that Plaintiff's Fourth Cause of Action for Negligent Hiring, Supervision, and Retention lacks evidence of unfit employees or Defendant's knowledge of the same. "California case law recognizes the theory that an employer can be liable to a third person for negligently hiring, supervising, or retaining an unfit employee. [Citation.] Liability is based upon the facts that the employer knew or should have known that hiring the employee created a particular risk or hazard and that particular harm materializes." (McKenna v. Beesley (2021) 67 Cal.App.5th 552, 566 [footnote omitted].)

For Issue 6, WSR relies on Facts 22-23. Plaintiff alleges Negligent Hiring but fails to identify specific unfit employees or provide evidence that WSR knew or should have known of their incompetence. (WSR Fact 22.) WSR contends that its employees were qualified, licensed where required, belonged to unions which required them to be trained in accordance with industry standards, and it has no record of any complaints or issues regarding the competence of the employees assigned to this project prior to or during the work performed at the Subject Property. (Id. at 23.)

Essentially, WSR makes a "no evidence" motion with respect to the Fourth Cause of Action. WSR again relies on SROG No. 12. (See Singh Decl., Exs. E and M [SROG No.

12].) However, as quoted above, this

SROG only requested facts to support Plaintiff's contention that WSR's work/services caused or contributed to Plaintiff's damages. The SROG did not specifically seek information about the identity of employees, unfitness of those employees, and WSR's knowledge thereto.

Thus, for the same reasons

discussed in part in Issue 1, the motion is denied as to Issue 6.

RULING:

In the

event the parties submit on this tentative ruling, or a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Defendant/Cross-Complainant

Western States Roofing, Inc.'s Motion for Summary Judgment or Summary Adjudication came on regularly for hearing on June 26, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

THE

MOTION FOR SUMMARY JUDGMENT IS DENIED.

THE ALTERNATIVE MOTION FOR SUMMARY

ADJUDICATION IS GRANTED AS TO ISSUES 4 AND 5 REGARDING RENTAL INCOME AND TENTANT SETTLEMENT DAMAGES; and DENIED AS TO ALL OTHER ISSUES.

DEFENDANT TO PROVIDE

NOTICE.

IT IS SO

ORDERED.